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Court

GUJARAT HIGH COURT, GUJARAT INDIA

Date

1994-05-04

Appeal No.

CRIMINAL REVISION APPLICATIONS NOS. 130,131 AND 132 OF 1989

Judge

JUSTICE S. D. DAVE.

Parties

RESPONDENTS:ALKESH SUBODHCHANDRA VERSUS STATE OF GUJARAT AND SHAH. ANOTHER.APPLICANTS: (CRIMINAL REVISION APPLICATION NO. 130 OF 1989),KAUSHIKKUMAR VERSUS STATE OF GUJARAT ANDKESHAVLAL. ANOTHER. (CRIMINAL REVISION APPLICATION NO, 131 OF 1989).PARESH JAYANTILAL VERSUS STATE OF GUJARAT ANDSHAH. ANOTHER.

Lawyers

REPRESENTED: '• ;)' • •APPLICANTS BY: K. H. KRIJI AND A. D. SHALL* ADVOCATES.RESPONDENTS BY: S. T. MEHTA AND B. B. NAIK, ADVOCATES.

Statutes

INCOME TAX ACT 1961 - SECTION 69A SECTION 276C CRIMINAL PROCEDURE CODE, 1973 - SECTION 397

the above said orders, the Department had; preferred the Criminal Revision Application No. 200 of 1985 before the City Sessions Court, Ahmedabad. The prayer of .the Department was that the orders of discharge pronounced by the court below were not in accordance with law and that, therefore, the framing of the charge was necessary, regard being had to the factual and legal position. This prayer was countenanced by the learned Additional City Sessions Judge,, vide his orders dated February 13, 1989. After allowing the criminal revision,application and after setting aside the orders of the court below, the learned Additional City/Sessions Judge has ordered framing of the charge. These orders dated February 13, 1989, are in challenge in Criminal Revision Application No. 130 of 1989.

5. These proceedings are almost similar to the previous proceedings. In this case, the ‘ residential premises! of petitioner- accused, Kaushikkumar, came to be raided on the same date, i.e., January 24. 1984, and search operations were carried out. It is the case of the Department that a cash amount of more than Rs. 4,00,000, jewellery of the value of Rs. 93,590. gold ornaments of the value of Rs. 1,69,355 and silver bars of the value of Rs. 59,685 were recovered. In this case also, the assessee-accused had shown the said amount and the value of the jewellery, the gold ornaments and silver bars as his income from other sources and that, the necessary return was submitted by him on June 30, 1984, under which the returned income was in a sum of Rs. 7,37,460. The assessee-accused had, 1 also submitted the wealth-tax return in which this amount and/or the value of the articles was also included. The assessment proceedings under the Income-tax Act, 1961, and under the Wealth-tax Act, 1957, have been duly completed; As in the former case, in this case also no penalty proceedings were initiated either on the ground of concealment of income or on the ground of showing incorrect particulars in the return. The returned income as disclosed by the assessee-accused admittedly came to be accepted by the Department and assessment orders have been made in this respect. Anyhow, later on, in this case also three criminal cases, namely, Criminal Case No. 24 of 1986, Criminal Case No. 472 of 1986 and Criminal Case No. 476 of 1986, came to be filed by the officials of the Income-tax and Wealth-tax Departments, in the court of the learned Additional Chief Metropolitan Magistrate on similar allegations. A similar prayer was mooted by the accused-assessee saying that he requires to be discharged from all the three cases, as the material brought before the court would not go to show any case which could be tried against him. As in the previous case, in this case also, this prayer emanating from the assessee-accused came to be countenanced by the learned Additional Chief Metropolitan Magistrate, vide his orders dated June 20, 1988. The Department feeling aggrieved and dissatisfied with these orders had filed the Criminal Revision Application No. 202 of 1988 which came to be allowed under the orders of the learned Additional City Sessions Judge dated February . 13, 1989. and the orders of discharge as pronounced by the court below came to be quashed and set aside. It was also ordered and directed that the charge should be framed against the assessee-accused in all the above noticed three cases. These orders are under challenge in the present criminal revision application.

Criminal Revision Application No. 132 of 1980: 6, The residential premises of the assessee-accused, Paresh Shah, came to be raided on January 24, 1984, and search operations were carried out as it had happened in two previous cases. An amount of Rs. 15,000, jewellery of the value of Rs.

59,435 and some silver utensils were found during the search operations. The assessee-accused had submitted the return of his income for the assessment year 1984-85 and had declared income of Rs. !.33,220 as income from other sources. The returned income was accepted by the Department and the assessment proceedings have been completed and the necessary assessment orders have been made, on October 29, 1984. The assessee-accused had submitted the necessary return under the Wealth-tax Act and the assessment proceedings were also concluded. In this case also, no penalty proceedings were initiated by the Department

either on the count of concealment of income or of showing incorrect particulars in the returns. The penalty proceedings were indeed initiated in respect of the advance tax legislation but they were ultimately dropped. Thus, in this case also, the income and the wealth as disclosed by the accused-assessee came to be accepted by the Department and the necessary assessment orders have been made. Anyhow two complaints were filed against the assessee-accused, they being Criminal Case No. 12 of 1986 and Criminal Case No. 13 of 1986. In these two cases also, after the examination of the complainant and after the necessary material was submitted before the court below, there was a prayer on behalf of the accused-assessee urging that as no case is being made out for the alleged commission of the two offences, he requires to be discharged. This prayer came to be recognised by the learned Additional Metropolitan Magistrate, vide his orders dated September 30, 1986. As the assessee-accused came to be discharged under the said orders, the complainant Department filed criminal revision applications which came to be allowed by the learned Additional City Sessions Judge', Ahmedabad, under his orders dated February' 13, 1989. Under these orders, the orders granting discharge came to be set aside and the charges were directed to be framed against the assessee-accused. These orders are in challenge in the present criminal revision application.

7. The learned Additional Metropolitan Magistrate was of the view that, when no satisfactory explanation was emanating from the accused-assessee, the money and/or the value of the articles found, shall he deemed to be the income of the accused- assessee from undisclosed sources in that particular financial year and that, when the respective accused had submitted the returns showing the concerned amount oi* the value of the articles as his income from undisclosed sources and when such a case put forth by the assessee has been accepted and the assessment orders have been made and the tax also has been paid, the assessee-accused were required to be discharged under section 245(1) of the Code of Criminal Procedure, 1973. A similar view has been'taken in the cases punishable under section 35A(1) of the Wealth-tax Act, 1957.

8. It appears that the above said view expressed by the learned Metropolitan Magistrate came to be set at naught by the City Sessions Court, Ahmedabad, while accepting that, though the change of the previous year was not unlawful "it was obvious that the change would not have been made by the assessee-accused but for the fact of the search operations and ' the find of money and certain other valuable articles". It was also the view expressed by the City Sessions Court that the enabling provisions contained in section 69A of the Income-tax Act,'.1961, could not and should not be treated as nullifying the penal consequences following the assessee's inability to explain the nature and source of acquisition of the money and the articles. It is also said and expressed that different provisions contained in the Income-tax Act, 1961, and the Wealth-tax Act, 1957, are meant for or intended to advance, the purpose of the taxing statutes and not "to annihilate the real meaning and intent of each other". It was also the view expressed by the City Sessions Court, that according to the scope or the meaning of the relevant statutory provision as urged by the accued-assessee would give a lever to the assessee to escape conveniently, from the penal consequences by merely and simply showing the discovered amount or the value of the discovered articles as his income from other sources in the financial year. This reasoning adopted by the City Sessions Court, while allowing the revision applications and setting aside the orders of discharge pronounced by the court below comes under a searching questionnaire and then under a serious challenge at the hands of learned counsel Mr. Kaji, who appears on behalf of the petitioner-accused- assessee. .

' » 9. Learned counsel, Mr. Kaji, would urge that reading the provisions of sections 14, item F and 56(1) of the Income-tax Act, 1961, as they stood at the relevant time, the discovered amount or the value of the discovered articles, jewellery, etc., should be deemed to be the income of the assessee from other sources and that, under section 69A of the Act of 1961, if the assessee was

found to be the owner of any money, jewellery or valuable article not recorded in the books of account, if any, to be maintained by him and the assessee has no explanation about the nature and sources of acquisition of the same or if the explanation offered by him is not in the opinion of the Income-tax Officer satisfactory, the money and or the value of the jewellery or valuable article shall be deemed to be the income of the assessee for such financial year. Learned counsel, Mr. Kaji, would also urge that under section 3(1) the previous year would mean any financial year preceding the assessment year and under section 3(3) of the Act of 1961, an assessee may have different previous years in respect of separate sources of his income and under section 3(1) of the Act, where an assessee is a partner in a partnership-firm and the firm has been assessed as such, then, in respect of the assessee's share in the income of the firm, the period determined as the previous year for the assessment of the income of the firm shall be the previous year for the assessment of the share income of the partner. It is also the contention emanating from learned counsel, Mr. Kaji, that, under section 139 of the Act, the respective petitioner-accused-assessee was required to file his return before the 30th day of June, 1984, and that, the same has been done. Mr. Kaji would also further urge that the amount recovered or the value of the articles, recovered, have been shown as the income of the assessee from other sources and that the same has been treated as income from undisclosed sources for that financial year and that the income so returned has been accepted by the Department and that the assessment orders have been made and the tax has been paid, and that no penalty proceedings either for concealment of the income or for furnishing incorrect particulars in the returns have been initiated. Mr. Kaji, therefore, on these facts and circumstances would ultimately urge that all that the assessee was, under duty bound, required to do under the relevant statutory obligations having been done by them, has been accepted by the Department. Learned counsel, Mr. Kaji, would also further urge that, looking to the provisions contained under section 44AA and the provisions in Chapter 16 of the Act, it is clear that when the petitioner-accused-assessee had only income from the partnership business he was not required to maintain any account books and that the view taken by the court below in this respect appears to be *ex facie* erroneous. Lastly, learned counsel would urge that the material made available to the court below would not show a *prima facie* case of any wilful attempt to evade income-tax or wealth-tax within the meaning of section 276C of the Income-tax Act, 1961, or under section 35A of the Wealth-tax Act, 1957, respectively, and that, regard being had to all these, the learned Metropolitan Magistrate was perfectly justified in ordering the discharge and that, there was no reason for the learned City Sessions Judge to cause any interference in these orders which appear to be in complete consonance with the law on the question.

10. Anyhow, learned standing counsel, Mr. B. B. Naik, appearing on behalf of respondent No. 2, while taking a preliminary objection would urge that, the present criminal revision applications are not maintainable under section 397(2) of the Code of Criminal Procedure, 1973. as having been directed against the interlocutory orders pronounced by the learned Additional City Sessions Judge. It is also the contention coming from learned counsel, Mr. Naik that the facts and circumstances of the case would go to show that, it was not open to the learned Metropolitan Magistrate to discharge the petitioner-accused while acting under the provisions contained under section 256 of the Code of Criminal Procedure, 1973, because it could not have been said, that no case against the accused was made out which if unrebutted would warrant his conviction. Lastly upon a re-reading of the relevant provisions of the Income-tax Act, 1961, and the Wealth-tax Act, 1957, learned counsel would urge that, the material adduced before the trial court unerringly demonstrates the wilful attempt on the part of the assessee to evade tax and that, therefore, the learned Magistrate was not justified in ordering a discharge. On the very same ground and on the basis of the very same statutory provisions learned counsel would urge that no interference with the orders under challenge would appear justifiable, 11. The learned Government counsel, Mr. S. T. Mehta, appearing on behalf of the State Government would endorse in detail, all that has been said by learned standing counsel, Mr. Naik, and would urge

with added vehemence that there is no reason for me either in law or on the facts to interfere with the orders of the learned Additional City Sessions Judge.

12. Taking up the first contention regarding the maintainability of the present criminal revision applications, a reference shall have to be made to the provisions contained under sub-section (2) of section 397 of the Code of Criminal Procedure, 1973.

Placing reliance upon these provisions both Mr. Naik and Mr. Mehta would urge that the orders under challenge being purely interlocutory in nature could not have been challenged by way of filing the present criminal revision applications and that, under the very same provisions the present proceedings are barred. The question which, therefore, would arise is as to whether the orders under challenge can be said to be interlocutory in nature, against which no revision could be maintainable before this court.

13. Mr. Naik and Mr. Mehta in this, respect, would firstly place reliance upon the Supreme Court pronouncement in *Imar Nath v.*

State of Haiyana, AIR 1977 SC 2185. This pronouncement of the Supreme Court while explaining the term "interlocutory order" occurring in section 397(2) of the Code, has said that the said term has been used in a restricted sense and that any order which substantially affects the right of the accused or decides certain rights of the parties, cannot be said to be an interlocutory order so as to bar a revision to the High Court. It is also stated by way of instance that certain orders summoning witnesses, adjourning cases, passing orders for bail and calling for the reports, etc., cannot be said to be final orders and that they would be the steps in aid of the pending proceedings and may amount to interlocutory orders against which no revision would lie. Anyhow, it is pointed out that those orders, which are matters of moment and which affect or adjudicate upon the rights of the accused or a particular aspect of the trial, cannot be said to be interlocutory. It has been pointed out further that, the orders compelling the appellant to face a trial, without proper application of mind cannot be held to be an interlocutory matter but one which decides a serious question as to the rights of the appellant to be put on trial. A momentary reversion to the facts of the cases on hand to reckon and appreciate that there are serious disputes as to the rights of the petitioner accused to be put on trial, though appearing to be side-tracking, would be a step in the right direction.

14. The second decision on which reliance has been placed in this respect, is the Supreme Court pronouncement in *V C. Shukla v. State*, AIR 1980 962. In this pronouncement while examining the provisions contained under section 11 of the Special Courts Act, 1979, and under section 397(2) of the Code of Criminal Procedure, the expression "interlocutory order" has been explained.

No doubt, though in the context of section 11 of the Special Courts Act, 1979, but also in the context of the provisions contained under section 397(2) of the Code, it is said that, the order of framing charges is purely an interlocutory order as it does not terminate the proceedings, but the trial goes on until it culminates in acquittal or conviction. Heavy reliance has been placed upon this say of the Supreme Court, by learned counsel Mr. Naik and Mr. Mehta while urging that the present revision applications against the interlocutory orders telling the trial court to frame charges would not be maintainable. As against this, learned counsel, Mr. Kaji, appearing on behalf of the petitioner, would invite my attention to what the Supreme Court has said in *Macchu Limaye v. State of Maharashtra*, AIR 1978 SC 47. Firstly, it has been made clear that the bar under section 397(2) will not operate to prevent the abuse of the process of the court and/or to secure the ends of justice because the label of the petition filed by the aggrieved party is not material and can examine the matter in an appropriate High Court case under its s, the

following inherent powers. What is yet more important is, say of the Supreme Court contained in paragraph 15 of the decision (headnote): "An order rejecting the plea of the accused on a point which, when accepted, will conclude the particular proceedings, will surely be not an interlocutory order within the meaning of section 397(2)." of IS. The abovesaid say of the Supreme Court would go to show conclusively that an order rejecting the plea of the accused on a point, which when accepted will conclude the proceedings, would surely not be an interlocutory order within the meaning of section 397(2) of the Code. Great emphasis has rightly been placed on these observations by learned counsel, Mr. Kaji, while persuading me to take a view that if in this case also the order rejecting the plea of the accused had been accepted, it would have concluded the proceedings initiated by the Department and, therefore, the orders cannot be said to be interlocutory.

Looking to all that has been said by the Supreme Court in this pronouncement, it appears that, there is considerable force in the contention being raised by learned counsel, Mr. Kaji, in this respect. The plea of the accused, namely, that the material does not disclose a case on which they could be tried before the trial court, which was already accepted by the learned Metropolitan Magistrate, if it were to be again accepted by the learned Additional City Sessions Judge; then definitely there should have been a conclusion of the proceedings launched against the petitioner-accused. Viewing the matter from this angle it appears that the orders under challenge cannot be said to be interlocutory orders against which the revision application would not be maintainable before this court. 16. In *Haryana Land Reclamation and Development Corporation Ltd. v. State of Haryana*, CrL R. (SC) 412, the orders of discharge passed by the Chief Judicial Magistrate were held not to be falling within the definition of the term "interlocutory". It was also pointed out that inherent powers of the High Court were not limited.

17. On a conspectus of the view expressed in the abovesaid pronouncements, it is clear that the orders passed by the learned Additional City Sessions Court in a revision now cannot be termed as interlocutory orders. As pointed out, if the plea of the petitioner-accused were to be accepted, as was done by the trial court, then definitely the proceedings against all the petitioners could have been concluded and that also in their favour.

One more aspect which requires consideration is the real intent and the purport of the provisions contained under section 397(3) of the Code of Criminal Procedure, 1973. This provision while eliminating the scope of two successive revision petitions by the same party would say that, if a revision application under this section has been made by any person either to the High Court or to the sessions judge, no further application by the same person shall be entertained by either of them. But when once the revision application has been accepted by the Sessions Court and a finding adverse to the case of the petitioner-accused has been recorded, in all fairness and under the law also, it could not be urged that now the petitioner-accused cannot come before this court under a revision. The orders granting discharge were admittedly challenged before the sessions court. The revision applications have been allowed and the orders of discharge have been set aside and quashed and the framing of the charges in all the cases has been ordered. Now saying that the revision applications filed by the accused persons against the abovesaid orders would not be maintainable on the ground that they are orders of interlocutory nature within the meaning of section 397(2) of the Code would go to the extent of saying that the trial court could have too, successfully, orders of discharge granted by the trial magistrates been challenged by the complainants and that but that, those revisional orders could not be challenged by the orders of discharge were the orders not petitioner-accused on the ground that such interlocutory in nature. If the orders granting discharge were found not to be interlocutory, how could granting the discharge and directing the charges to be framed be said to be interlocutory so as to bar the jurisdiction of this court under section 397(2) of the Code? Accepting the contention being advanced by Mr. Naik, and buttressed by Mr. Mehta, would amount to the acceptance of two for the prosecutor

and the other for the too in criminal jurisprudence, and again on very same statutory provisions.

different scales, accused and that, the basis of the 18, Thus on a careful analysis of the views Supreme Court and the provisions contained of the Code of Criminal Procedure, 1973, it is apparently clear that the present criminal revision applications cannot be said to be not maintainable or barred under sec! expressed'by the .inder section 397 ion 397(2) of the >een filed against The preliminary ounsels Mr. Naik Code of Criminal Procedure, 1973, as having orders which are interlocutory in nature, objection on this count raised by learned c and Mr. Mehta thus in my view fails.

19. So far as the merits of these revision petitions are concerned, the submissions of learned counsel Mr, Kaji appear to havie been based upon the conjoint reading of certain statutory provisions finding their place in the Income-tax Act, 1961, and the Wealth-tax Act, 1957. The thrust of the arguments to be advanced by learned counsel, Mr. Kaji, is that the. ambunt recovered or the value of the articles recovered, during the search operations would be the income of the respective assessee from undisclosed sources and that, this amount or the value of the article was required to be taken as the income of the respective petitioner-assessee from undisclosed sources, for the said financial year in which the s 1 amount was recovered.

20. Teamed counsel Mr. Kaji in this respect firstly would place reliance upon the provisions contained under section 14 of the Income-tax Act, 1961, finding its place in Chapter IV which pertains to the computation of total income and the heads of income. A reference to these provisions would go to show that, as being urged by Mr. Kaji, the amount found or the value of the articles found during the search operations would fall under the statutory category 'F - Income from other sources. The very same proposition emanates from the provisions contained under section 56(1) of the Income-tax Act, 1961, which would say that, income of every kind which is not to be excluded from the total income under the Act shall be chargeable to income-tax under the head "Income from other sources" if the same is not chargeable to income-tax under any of the heads specified in section 14, items A to E, Thus, upon a conjoint reading of the provisions contained under section 14 and section 56 of the Act of 1961, it shall have to be accepted, as urged by learned counsel Mr. Kaji that the amount or the value of the articles should be taken as the income from the other sources.

I 21. The question is as to what would be the year to which such an income would relate. The provisions contained under section 69 A of .the Act say very clearly that, where in any financial year, the assessee is found to be the owner of any money or valuable articles and if such money or valuable articles is not recorded in the books of account, if any, to be maintained by the assessee and the assessee offers no explanation, about the nature and source of acquisition of the money or the article or the explanation is not satisfactory iri the opinion of the Income-tax Officer, the money a id the value of the articles, may be deemed to be the income :)f the assessee for such financial year. These provisions, therefore, would go to show that the monies recovered, or the value articles recovered, shall be deemed to be the of the valuable income of the assessee for the financial year in which they were recovered. It is abundantly clear that these provisions would f deeming fiction, under which the abovesaid required to be treated as the income of the a said financial year.

ave a statutory income was ssessee for the would define 22. Section 3 of the Act of 1961 which "previous year" for the purpose of the Act would go to show that, previous year would mean the financial year immediately preceding the assessment year. The assessment year undoubtedly is 1984-85.. The previous year would be 1983-84 anU. the financial year in which the money o articles were recovered was also the same, discussion would go to show that this income v/as required to tnd lhat also it ar.

r the valuable The earlier be taken 'as income from undisclosed sources was to be taken as the income of that financial y 23. It is not in dispute, on the contra(; substantiated by the evidence brought complainant/Department, that the amount re the value of the valuable articles have been respective assessee as the income from undiscld y it is being 'orth by the ccovered and/or shown by the sed sources in that financial year and that the said position has been duly accepted by the Department and that the assessment proceedings have been completed, It is thus clear that once this position having been accepted by the Department and the income having been accepted as - income from undisclosed sources in that financial year under statutory provisions, it could not have been urged by the complainant/Department that there was a wilful attempt on the part of the petitioner-assessee. Anyhow, before coming to this conclusion, a reference to certain case law on which the petitioners have placed heavy reliance would prove beneficial. In this respect, the reference firstly be made to the pronouncement of this court in B. T. X. Chemicals Ltd. v.

Suraj Blian j 1989J 177 ITR 425, This pronouncement of this court would point out that an assessee can be prosecuted only if it is shown that he had a; mala fide intention or mens rea for committing the particular crime. It is also pointed out that, a bona fide mistake, made jby the assessee while filing in his income-tax return would" not necessarily amount to an intention to commit a crime punishable under section J276C of the Income-tax Act. 1961. ' 24. In D. N. Bhasiri v. Union of India 11988] 171 ITR 7 (P & H), as> the facts would go to show, the,assessee had filed,their returns for certain assessment years but in April, 1982, the Income-tax Department had searched the business and residential premises of the assessee and had seized certain papers. Later on, the reassessment proceedings were initiated against the assessee and the criminal complaints were also filed agains'i them under sections 276C and 277 of the Income-tax Act, 1961. In the background of these facts, it was held that if the Commissioner (Appeals) came to the conclusion that the additions made to the income of the assessee were not justified and had ordered the same to be. deleted, it could no longer be pleaded that the assessee tried to evade tax or had made false statements in the verifications of their returns/ 25. In Parkash Chand v. ITO 11982] 134 ITR 8 (P & H), the prosecution was launched against the assessee for the offence under section 277 of the Income-tax Act on the basis of false returns, false accounts and inflated items of purchases. Pending the criminal proceedings,. in penalty proceedings for concealment of income, the Tribunal had examined the material and had arrived at the finding that the income-tax authorities had not established clearly that particular items of purchases were inflated. It was held that, in view of the finding of the Tribunal that there was no concealment and no inaccurate accounts were filed by the petitioner, the criminal proceedings against the assessee could not continue and were liable to be quashed.

26. In Kanshi Ram Wadhwa v. ITO [1984/ 145 ITR 109 (P & H), where during the assessment proceedings, the Income-tax Officer had passed an order imposing penalty on the assessee and that order was quashed by the Appellate Assistant Commissioner, and when on the strength of the order of the Income-tax Officer, criminal prosecution was launched against the assessee under section 277 of the Income-tax Act, 1961, it was held that there was no case of sustenance of penalty, it equally would not be a case for criminal prosecution: and, therefore, the criminal complaint filed against the assessee was liable to be quashed. The Supreme Court pronouncement in Uttam Chand v. ITO [1982] 133 ITR 909: would go to shoW that on the findings to be rendered by the Income-tax Officer: that the firm was not genuine and that one J was not the partner of the firm, there was the initiation of the prosecution against all the partners of the firm under section 277 of the Income-tax Act, 1961.

But, ultimately, when the Tribunal had recorded a finding that J was a partner of the firm and that the firm was genuine, the assessee was said not liable to be prosecuted for filing the false return,

27. The Calcutta High Court pronouncement in *Gopalji Shaw v. ITO 11988* 173 ITR 554 would go to show a case, wherein the penalty proceedings were initiated under section 271(l)(a) but no penalty was levied. The prosecution was launched and on a writ petition it was held that though the penalty proceedings were initiated, no penalty was imposed which showed that the Department did not consider it necessary to impose any penalty and that, in such case the Income-tax Officer could not say that there was a wilful default on the part of the assessee and, therefore, the initiation of the criminal prosecution was without jurisdiction and was liable to be quashed.

28. ' The Patna High Court decision in *Banwarilal Satyqnarain v. State of Bihar* [1989] 179 ITR 387 goes to establish that the prosecution of an accused under the provisions of the Income-tax Act is liable to be discontinued if the .statutory authority under the Act, has passed any order on the merits in favour of the assessee who is the accused- in a criminal trial. This pronouncement would definitely go to show that/even in a case where the prosecution was launched and thereafter there was a correction of the orders of the Department, under which the assessee could not have been held liable, the prosecution launched against the assessee, ultimately, came to be quashed. This pronouncement definitely would render a great assistance to learned counsel, Mr. Kaji, while he urges before me that in this case also the orders of discharge passed by the learned trial magistrate could not have been interfered with by the learned Additional City Sessions Judge, because in fact, whatever was said by the assessee in the returns came to be accepted by the Department and, ultimately, on the recognition of their say, there have been various assessment orders which have become final and conclusive. The rest of the four pronouncements on which learned counsel, Mr. Kaji, would place reliance make the position yet clearer. The Supreme Court pronouncement in *P. Jayappan v. S. K.*

Perumal, First ITO [1984] 149 ITR 696 would go to, show that, if the Departmental proceedings are not terminated, the initiation of the criminal proceedings against the assessee would be premature. It is true that in this pronouncement the Supreme Court has not quashed the criminal proceedings but that was done on a material distinguishing feature, namely, that the Departmental proceedings were not over. Even in such circumstances, the say of the Supreme Court is that the launching of the criminal prosecution was premature. The reliance is being placed upon this pronouncement by Mr. Kaji, with a purpose to emphasise that in all the cases on hand, the assessment proceedings are over and that, they have been in favour of the respective assessee, and that, when no penalty, proceedings have been initiated for the concealment of income or for showing incorrect particulars in the statement, there could have been no prosecution of the assessee -accused. It appears that in view of what has been said by the Supreme Court, the contention of learned counsel, Mr. Kaji, is fortified and requires to be accepted. , 29. The Delhi High Court pronouncement in *Asst. CIT v. Belco Engineers Ltd.* [1990] 87 CTR 1, demonstrates a case in which addition to the income was made on the ground that the assessee had shown excess amounts having been spent on raw material and had undervalued the scrap. But this addition having been deleted by the Tribunal it was held that the assessee could not be proceeded against for the alleged offence under section 276C. The Punjab and Haryana High Court decision in *ITO v. Mohinder Pal Ajay Kumar* [1993] 203 ITR 866 was a case in which the prosecution was launched against the assessee under section 276C on the ground that the stock was found undervalued at the time of survey. The accused had thereafter surrendered the difference in the return by way of supplementary profit. The accused himself had corrected the valuation after the survey before filing the income-tax return. It was held that, there was no attempt to attract the penal provision under section 276C because the initial preparation did not mature into an attempt to evade, which is made punishable. The Punjab and Haryana High Court decision in *ITO v. B. B. Mittal* [1993] 199 ITR 805 would go to show that when „the Tribunal had quashed the penalty observing that there was no concealment and when the legality of the order of the Tribunal was not disputed, it was held that the

prosecution was rightly dropped by the trial court.

30. ITHE later four decisions would go to show that the case ' of the:Department against the assessee was in respect of some concealment somewhere which would entitle him to some benefit. Later on, it was found by the higher authorities that such was not a case. Accepting this position, these pronouncements would say that when the case of the assessee came to be accepted as a genuine one even later on, there could not have been the prosecution.

31. Without repeating the facts of the case once more it shall have to be accepted that, as the - case of the assessee has been accepted In full and as no penalty proceedings for concealment of income or for showing incorrect particulars in the return were initiated, the. prosecution could not have been launched on the basis of a view which, right from the initiation, was even according to the Department in favour of the assessee-accused. .

32. The court below, as noticed above, had taken the view that the accused assessee had changed the previous year with a view to see that he comes out of the penal consequences which may ensue from the recovery of the amounts or of the valuable articles. The say of the court below does not appear to be in consonance with law, because as noticed earlier,, under the very same provision, this income was required to be treated as the income of that financial year. Moreover as rightly pointed out by learned counsel, Mr. Kaji, a person having more than one business can have more than one financial year. It is, therefore, abundantly clear that, it could not have been urged that the petitioners-assesseees were guilty of offence for having more than one financial year. The important aspect to be noticed is that the assessee had income from his share of the partnership business only and that even if the assesseees had some other income in previous years, it could not have been said that they had changed the previous year. Similarly, whatever may be the previous year, then also in respect of such income, the petitioners- assesseees could have filed their returns before June 30, 1984, which in fact has been done by all the respective assesseees.

33. So far as the violation of the provisions of the Wealth-tax Act, 1957, is concerned, the reference shall have to be made to the provisions contained under section 2(q) of the Act, which speaks of the valuation date. The return of wealth under section 14 of the Act of 1957, was required to be filed before 30th June of the corresponding assessment year. Looking to the provisions contained under section 35A of the Act of 1957, it could not have been held that the petitioner-accused persons had wilfully attempted in any manner to evade any tax under the Act because as it is abundantly clear, along with the income-tax returns, the necessary returns for the wealth-tax were also duly submitted by the assessee before the requisite date and that the say of the respective assessee/petitioner has been accepted and the assessments in this respect have been finalised.

34. It has been sought to be urged that as the assesseees have not shown this undisclosed income in their account books or no account, books in this respect have been maintained, they would be held liable and, therefore, must be put on trial. This contention also cannot be accepted, regard .being had to the provisions contained'under section 44AA and the provisions contained under Chapter XVI of the Act of 1961. These provisions would go to show that the income of the respective petitioner-assesseees, being the income from the partnership business, the maintenance of the account books by them under section 44AA could not have been successfully insisted upon.

35. 1 The City Sessions Court has said that if the contentions of the petitioner-assessee are to be accepted, it would amount to annihilation of the real object and purpose qf the two taxing statutes. Unfortunately, this view of the court below cannot be accepted in the light of all that has

been stated by the pronouncements referred to earlier. It was required to show prima facie that there has been a wilful attempt to evade tax and this position clearly is not obtainable from the factual data and the statutory requirements. It is, therefore, clear that the learned Metropolitan Magistrate, on the correct appreciation of the factual and legal position, was perfectly justified in ordering the discharge of the assessee, while the learned City Sessions Judge was not so, while upsetting the said orders.

36. The last would be the question as to whether this court should interfere at the stage of the framing of the charge. Learned standing counsel, Mr. Naik and Mr. Mehta, would place reliance upon a pronouncement of this court in 'K. C. Saxena, Asst..

Collector, Customs v. Birhjiadrmihji K. Gohel [1985] 26 (1) GLR 517. This pronouncement while examining the provisions contained under sections 245 and 246 of the Code of 1973 says that at the stage of framing of the charge, the Magistrate is not required to appreciate the evidence meticulously but he has to form an opinion on the prima facie case. It is also pointed out that, if the evidence is prima facie sufficient and shows that the ground exists for framing the charge, then he cannot pass an order of discharge and he is required to frame the charge. This decision, in fact, reiterates the well-settled legal position in respect of the framing of the charge. It is made abundantly clear that if the evidence is prima facie sufficient, then the charge can be framed. The Supreme Court pronouncement in R. S. Nayak v. A. R. Antulay, AIR 1986 SC 2045, deals with the very same provisions with which I am concerned, namely, the provisions contained under section 245(1) of the Code. This pronouncement emphasises that the power to discharge is exercisable under section 245(1) of the Code when the Magistrate considers, for reasons to be recorded, that no case against the accused has been made out which, if unrebutted, would warrant his conviction. In fact on an analysis of the material made available to him in the instant cases the learned Metropolitan Magistrate has come to the conclusion that no such case is made out. It appears that he was perfectly justified in his conclusion, regard being had to the legal and the factual position.

37. Lastly, it was urged by learned counsel, Mr. Naik and Mr. Mehta, that at the stage of the framing of the charge, the evaluation of the material and documents is to be done orally to find out whether the facts emerging therefrom disclose the ingredients of the alleged offence. The Supreme Court pronouncement pressed in service in Niranjan Singh Karam Singh Punjabi v. Jitendra Bhimraj Bijja, AIR 1990 SC 1962, of course, with a view to show that, at this stage when the question is of framing the charge or not, the scope and ambit of the inquiry of the court would be a limited one. There cannot be any quarrel on this settled position of law. But it appears that, without taking a deep dip in the material made available to the court, it is prima facie shown that no case against the accused persons has been made out which, if unrebutted, would warrant their conviction.

38. Thus, from all that has been stated above, it is clear that the present three criminal revision applications succeed and they require to be allowed. They are hereby accordingly allowed. The revisional orders under challenge are hereby set aside and the orders of the learned trial Magistrate ordering the discharge of the respective petitioner-accused-assessee are hereby restored.

Rule is made absolute accordingly.

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